NielsenIQ Instant Soluble Coffee Presentation

- Case Study with Dummy Data

CASE STUDY

Overview Experience (Thanh Dinh)

In Vietnam:

- Graduated with a **Bachelor’s degree** in Supply Chain Management.
- Worked for a retail and wholesale company importing and distributing health supplements from the UK and USA to the Vietnamese market:
  - Used Excel to analyze **sales volumes, revenue trends, product category performance, and customer demographics** to optimize inventory, forecast demand, and target the right customers for marketing campaigns.

In Australia:

- Graduated with a **Master’s degree** in Supply Chain Management and Marketing from the **University of Wollongong.**
- Worked at IGA Supermarket (**FMCG industry**), engaging with suppliers and gaining insights into how promotions (catalogues, shelving, seasonality, and memberships) influence customer buying behavior.
- Working as a **Data Analyst** at Jung Talents (**a client-facing data consultancy**):
  - Led end-to-end analytical processes, from understanding business goals to developing Power BI reports and presenting insights with clear, actionable recommendations. Used Microsoft 365 packages and SQL.

Client requirement overview (Nestle)

- I am a NielsenIQ representative for Nestle in the Instant Soluble Coffee Category.
- For Nestle instant **coffee segmentation** :
  - Segment 1: **Nescafe Coffee Mix** (HK$ 9.6 - 8.6/10 cups, **premium** customer)
  - Segment 2: Coffee Regular
    - Freeze Dried: Freeze dried coffee is of better quality and more expensive than Spray Dried
      - **Nescafe Gold** (HK$ 7.1 – 8.2/10 cups, **near-premium** customer) (Master brand)
      - **Nestle Taster Choice** (HK$ 4.7 – 5.2/10 cups, **Mid-tier** customer) (Sub-brand)
    - **Nescafe Spray Dried** / Non-Freeze Dried (HK$ 3.6 – 3.7/10 cups, **value** customer).

- **Nestle Questions:**

  1. For Nestle overall, which segments do you recommend to put more resources to drive their business and why? Which competitors perform better than Nestle?
  2. How will you comment on the results of Nescafe Gold Reformulation in June 04, and what are the reasons behind. What Nestle should do next?
  3. How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies?

Analytical methodology

1. Begin by understanding Nestle's key business questions: big question and small questions.
2. Explore each visual individually — understand its purpose, function, and how it aligns with the business question and connect with other visuals to form the final answer.
3. Identify on the **key metric: % Sales Volume Share**, along with **supporting metrics** such as Sales Value, Avg$/10 cups, WTD, SPPD, and Price per Pack. The **key dimension: Product segment** for analysis**.**
4. **Use a top-down analytical approach:**
   - Start with the **overall market context and trends**.
     Example: Observe the trend of Regular Freeze-Dried coffee and identify any spikes or low points.
   - Ask "**Why?**" to uncover the **drivers** behind key changes.
     Example: Why did it drop sharply to its lowest point?
   - Drill down into **sub-questions** to identify **root causes**, such as slicing the Regular Freeze-Dried segment by **SKU** to understand which products contributed most to the decline.
5. **Connect all insights** into a cohesive narrative that answers questions related to the client's goal.
6. All answers must be specific and supported by quantitative values and metrics — not based on assumption or intuition.

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Question 1

- 1.1 For Nestle overall, which segments do you recommend to put more resources to drive their business and why?
- 1.2 Which competitors perform better than Nestle?

1.1 For Nestle overall, which segments do you recommend to put more resources to drive their business and why?

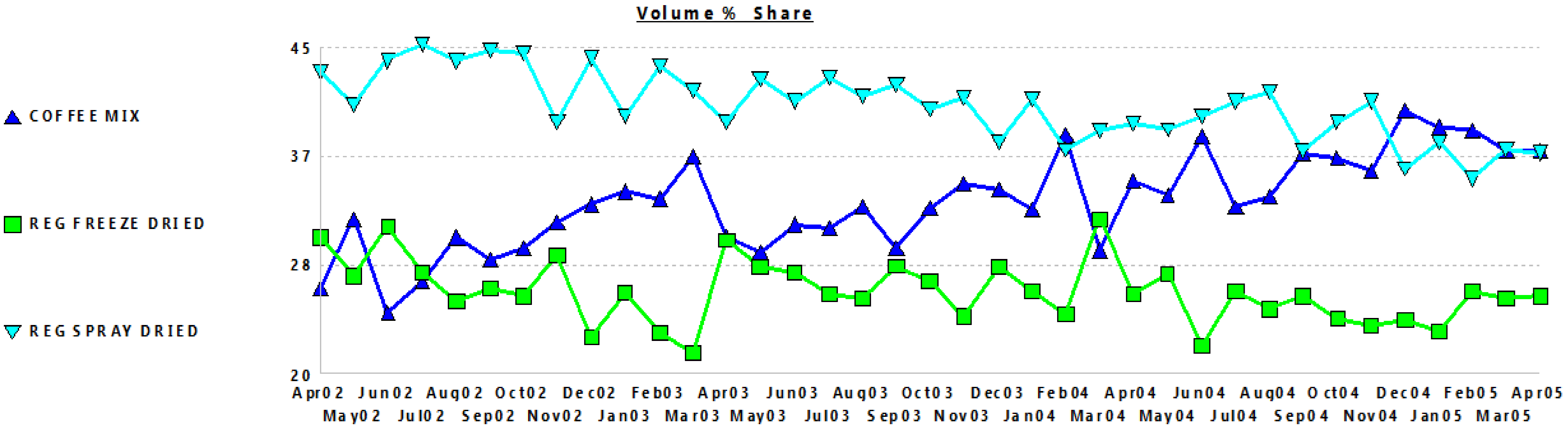
- Recommended Segment: **Coffee Mix (60% Resource Allocation) and Coffee Regular (40%).**

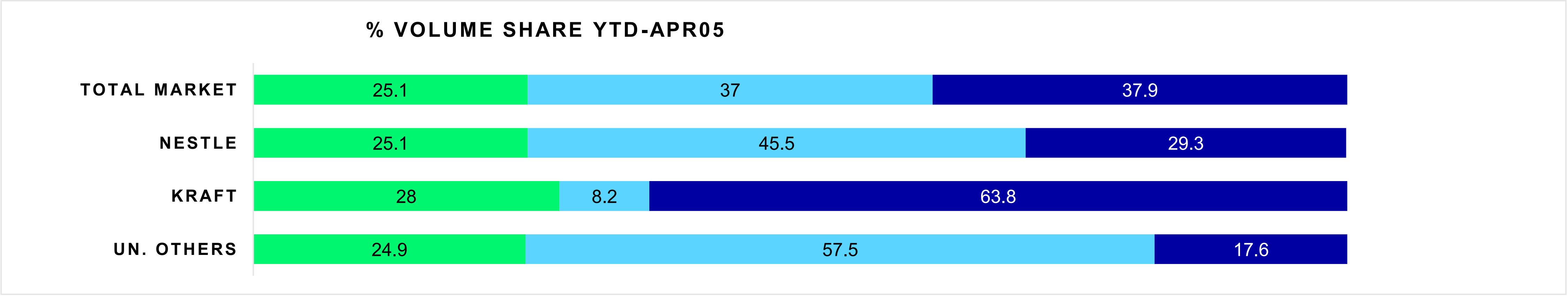
Coffee Mix (60%):

Based on the visuals, data from the table and market trend**.**

- **The volume share of Coffee Mix has steadily increased over time**, reaching **37.9%** by YTD Apr05, making it the largest segment in the instant coffee market.
- In terms of growth, the total market volume rose by **+16% YoY**, while Nestle's Coffee Mix outperformed with a **+32%** increase in sales volume and a **+19%** growth in sales value, both **YoY**.
- Coffee Mix serves **premium customers** with an **average price of HK$9–11 per 10 cups**, bringing more revenue.
- **Within Nestle**, Coffee Mix accounts for only **29.3% of its internal volume share**, which is lower than the market share. This shows Nestle is not yet fully leveraging the potential of this segment.
- **For competitor: Kraft** has already built a strong presence in Coffee Mix — with **63.8% of its internal volume** focused on this segment and **holding 10% of market share**. This shows that they are prioritizing Coffee Mix, and **if Nestle does not respond, there is a risk of losing more share** to them in a segment that is still growing.

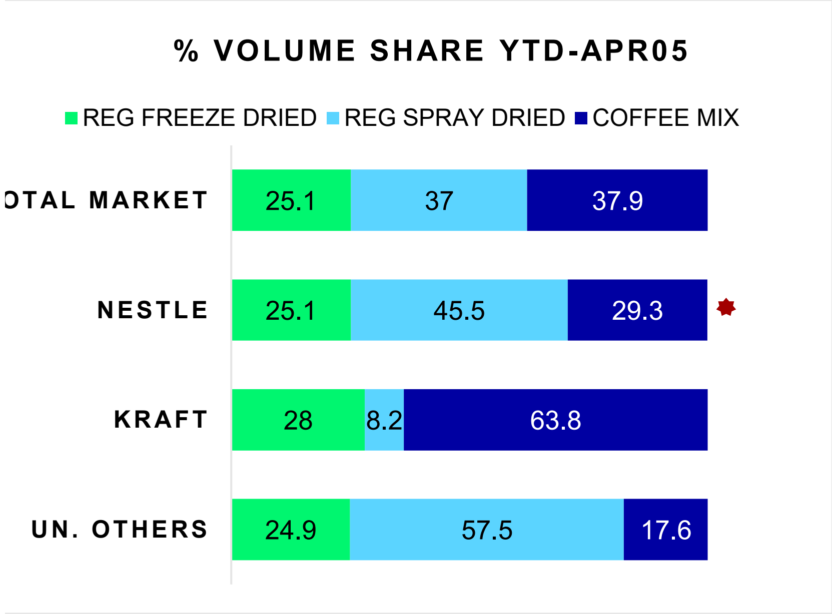
Total Instant Coffee – Monthly Segments Development at Total HK





Instant Coffee - YTD Brand Share Development at Key Accounts

	Sales Volume ('000 Cup)			Sales Value ('000 HK$)			AVG PRICE/10 CUPS		
	YTD Apr04	YTD Apr05	% CHG	YTD Apr04	YTD Apr05	% CHG	YTD Apr04	YTD Apr05	% CHG
TOTAL INSTANT COFFEE	77,429	79,061	2	51,082	54,188	6	6.6	6.9	4
REG COFFEE			-5						
SPRAY DRIED			-3						
FREEZE DRIED			-7						
COFFEE MIX			16 *						
% SHARE									
NESTLE	**69.1**	**68.4**	**1**	**60.1**	**59.2**	**4**	**5.7**	**5.9**	**3**
NESCAFE	61.5	60.7	1	54.7	53.3	3	5.9	6	3
REG COFFEE	46.1	40.6	-10	32.1	28	-8	4.6	4.7	3
SPRAY DRIED	32.4	31.2 *	-2	17.5	16.7	1	3.6	3.7	3
FREEZE DRIED	13.7	9.4	-30	14.6	11.3	-18	7.1	8.2	17
COFFEE MIX	15.5	20.1	32 *	22.6	25.3	19 *	9.6	8.6	-10
TASTER CHOICE	7.5	7.8	5	5.4	5.9	15	4.7	5.2	10
KRAFT FOOD	**15.3**	**16**	**7**	**19.6**	**18.1**	**-2**	**8.4**	**7.7**	**-8**
MAXWELL HOUSE	15.1	15.8	7	19.4	17.9	-2	8.5	7.8	-8
REG COFFEE	4.3	5.8	37	3.6	4.6	36	5.5	5.5	-1
SPRAY DRIED	1.7	1.3	-20	1.2	0.9	-25	4.9	4.6	-7
FREEZE DRIED	2.6	4.5	73	2.4	3.8	67	5.9	5.7	-3
COFFEE MIX	10.8	10	-6	15.8	13.3	-11	9.7	9.1	-6
GENERAL FOOD	0.2	0.3	13	0.2	0.2	7	4.7	4.5	-5
DAI PAI DONG	**0.8**	**0.8**	**-4**	**1.6**	**1.5**	**-1**	**12.5**	**12.9**	**3**
TSIT WING	**2.7**	**1.9**	**-27**	**4.2**	**3.1**	**-20**	**10.2**	**11.2**	**10**
UCC	**2.6**	**2.3**	**-11**	**3.9**	**3.2**	**-11**	**9.7**	**9.7**	**0**
MR. BROWN	**0.9**	**1.5**	**68**	**1.9**	**2.7**	**56**	**13.5**	**12.5**	**-7**
INDOCAFE	**0.1**	**2.1**	**3755**	**0.1**	**2.5**	**2958**	**9.9**	**7.9**	**-21**
OLD TOWN	**0.6**	**1.3**	**113**	**2.4**	**4.6**	**109**	**24.9**	**24.4**	**-2**
OTHERS	7.8	5.6	-27	6.4	5.1	-16	5.4	6.2	15
UN OTHERS	6.2	3.9	-36	4.2	2.7	-31	4.5	4.8	8
REG COFFEE	5.1	3.2	-35	2.4	1.6	-31	3.2	3.4	7
COFFEE MIX	1.2	0.7	-39	1.8	1.2	-31	10.2	11.5	13



1.1 For Nestle overall, which segments do you recommend to put more resources to drive their business and why?

Why Not Allocate 70%–80% to Coffee Mix?

- Nestle already reduced price by 10%, now cheaper than Kraft (HK$ 8.6/10 cups vs. Kraft's HK$ 9.1/10 cups).
- **Since this growth is partly price-driven**, it's uncertain whether **customers will remain loyal if pricing returns to normal**.

(Lesson from Taster Choice Red 175g)

- Over-investing in Coffee Mix could limit growth in other segments and create risk.

Regular Coffee 40% (20% for Spray Dried, 10% for Nescafe Free Dried, 10% for Nestle Taster Choice):

- **Spray Dried coffee** serves a different customer group and accounts for **37% of the total market**. **Nestle** holds a strong position here, with **31.2% share** within that segment, making it the **category leader**.
- It is important to maintain leadership in Spray Dried by sustaining distribution, pricing consistency, and brand presence.
- For **Nescafe Free Dried** and **Nestle Taster Choice.**

1.2 Which competitors perform better than Nestle?

Kraft Food:

- **Kraft** outperformed Nestle in the **Regular Freeze Dried segment**.
- Their **sales volume** increased by **+73% (Nescafe Freeze Dried -30%)** and **sales value** grew by **+67% (NFD -18%),** both **YoY.**
- This suggests **Kraft effectively captured share** during a period when **Nestle struggled with pricing, pack transitions, and execution issues in Freeze Dried segment.**

Old Town:

- Old Town **performed exceptionally well** despite low overall market share.
- Focused on a **niche premium customer**, priced at **HK$24.4/10 cups** — **the highest in the market.**
- Achieved **+113%** growth in sales volume and **+109%** in sales value, both **YoY**.
- Their success highlights strong demand for ultra-premium offerings, **even in a market dominated by Nestle and Kraft.**

Question 2

- How will you comment on the results of Nescafe Gold Reformulation in June 04, and what are the reasons behind. What Nestle should do next?

2. How will you comment on the results of Nescafe Gold Reformulation in June 04, and what are the reasons behind. What Nestle should do next?

In June 04:

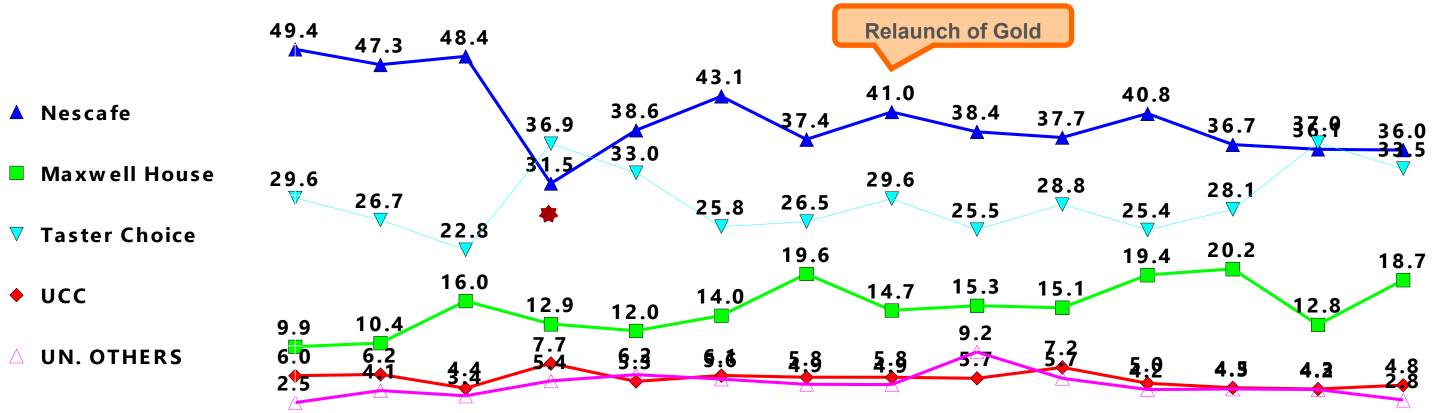
- Nestle launched the **new 150g and 30g** packs as part of the reformulated Nescafe Gold line.
- Simultaneously, they began **removing the 200g pack**, which had been the anchor size in terms of both volume and customer familiarity.

As a result:

- Volume share dropped sharply in **June 04** (**from 48.4% to 31.5%**), there was a recovery in **Aug 04** (43.1%) when prices were cut across all pack sizes,
- A small volume peak in **Oct 04** (41%, relaunch of Gold) and **Jan 05** (40.8%, likely reflected temporary restocking or safety stock), not a sustained turnaround.
- **Outside of these short-term peaks**, performance continued to decline and **never returned to pre-reformulation levels** (e.g., 49.4% in March 04 and 48.4% in May 04).
- **Overall, Nescafe Gold's performance declined after the June 04 reformulation and never fully recovered to its prior trend.**

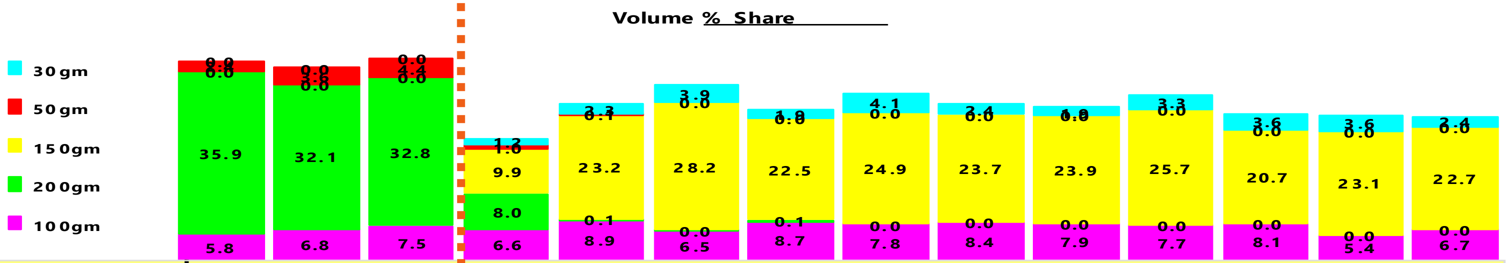
Regular Freeze Dried - Monthly Brands Volume Share Development at Key Accounts

	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
Freeze Dried	5991	4785	4203	3274	4393	3340	3855	4788	4189	4102	5366	4570	4747	5190



Regular Freeze Dried - Nescafe Gold Regular Monthly Development by Packsize at Key Accounts

	Price Per Pack													
	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
100gm	36.3	38.6	37.1	40.9	40.1	40.8	39.9	40.4	40.0	40.2	39.9	40.7	41.2	39.6
200gm	62.9	66.7	64.4	69.0	57.0	67.8	65.1	78.6						
150gm	NA	NA	NA	59.5	58.1	57.6	57.5	56.8	57.8	58.2	56.1	56.7	57.8	56.6
50gm	21.8	22.7	24.3	23.4	20.5	23.9	23.9							
30gm	NA	NA	NA	19.7	19.4	16.6	19.4	16.0	17.6	19.0	15.3	14.4	14.6	15.8



	Weighted Selling Dist													
100gm	75	85	88	89	95	89	90	86	90	91	92	88	86	87
200gm	96	97	96	79	2	1	1	0						
150gm				81	96	96	93	90	95	95	96	92	92	89
50gm	67	68	69	50	2	1	1							
30gm				61	72	70	70	69	74	69	71	66	68	66

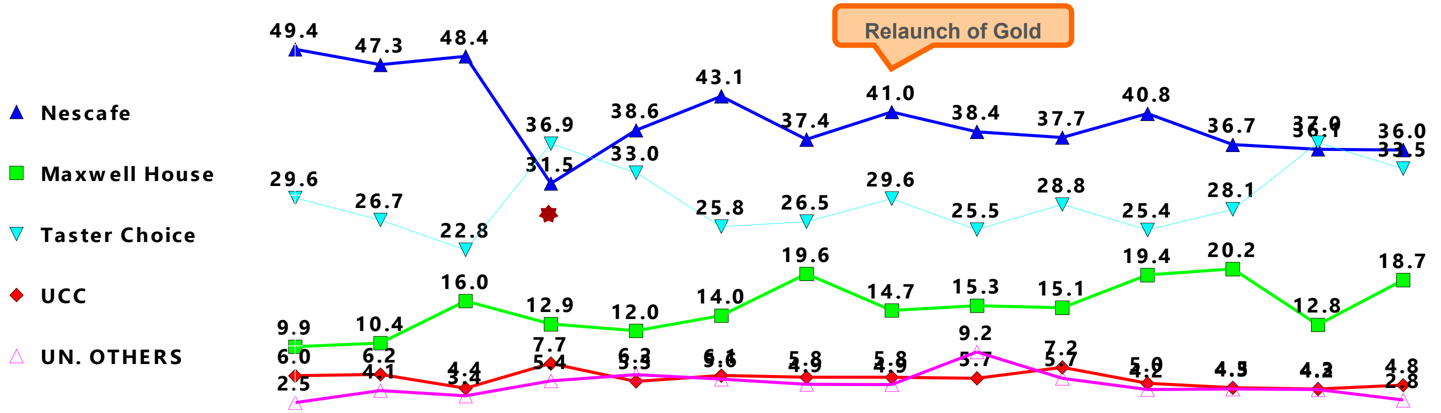
2. How will you comment on the results of Nescafe Gold Reformulation in June 04, and what are the reasons behind. What Nestle should do next?

Reasons Behind the Decline:

- **Too many changes launched at once:** Nestle introduced a new formulation, launched new pack sizes **(150g and 30g)**, and began removing the core 200g pack — all simultaneously. This disrupted shopper habits and caused confusion.
- **Loss of Core Pack Availability (200g):** While **pricing remained** listed until **Oct 04**, the 200g pack's distribution **dropped to just 2% by Jul 04** and became unavailable by **Oct 04** — **customers lost access** to the familiar core product before the new ones gained traction.
- **New SKUs couldn't fill the gap:** Despite **strong distribution** (WTD ~90% for 150g, ~60% for 30g), both packs delivered low volume share and failed to recover the lost sales from the 200g pack.
- **Product availability gaps:** Weekly sales data shows that **both the 150g and 150g-P promotional pack were removed and relaunched at different times**, causing inconsistent supply and repeated dips in sales from late 04 to early 05.
- **Shift within the portfolio and to competitors:** During the disruption, **Nestle's own Taster Choice** gained volume share **(22.8% in May 04 to 36.9% in Jun 04)**, and **Kraft** took advantage of the gap, growing its Freeze Dried sales volume by **+73% YoY.** This suggests **Nescafe Gold lost users both to internal brands and external competitors.**

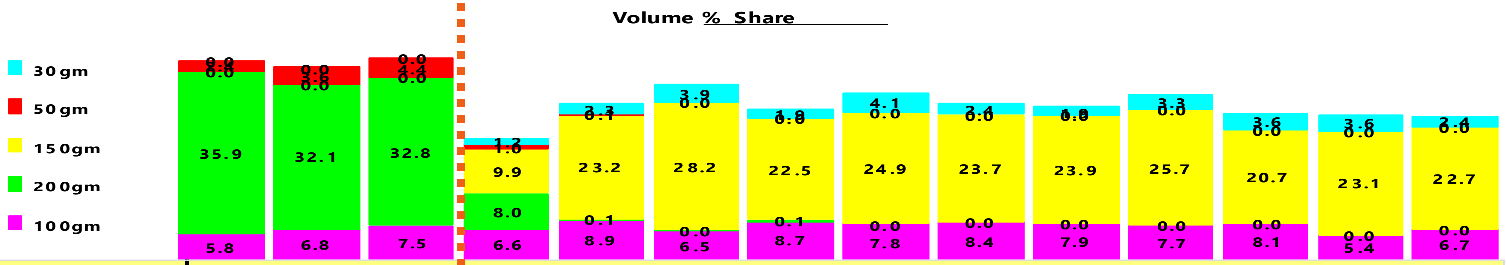
Regular Freeze Dried - Monthly Brands Volume Share Development at Key Accounts

	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
Freeze Dried	5991	4785	4203	3274	4393	3340	3855	4788	4189	4102	5366	4570	4747	5190



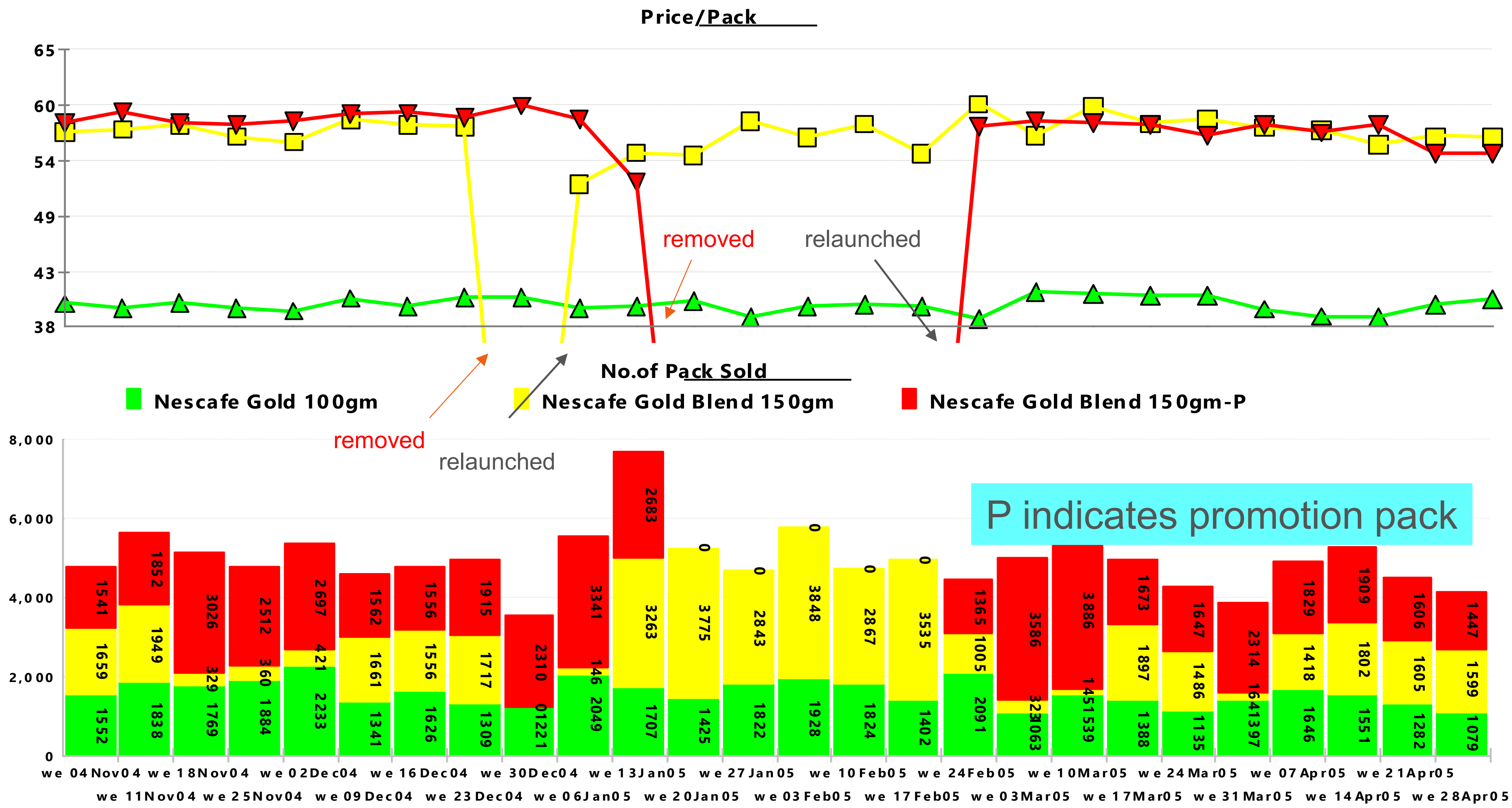
Regular Freeze Dried - Nescafe Gold Regular Monthly Development by Packsize at Key Accounts

	Price Per Pack													
	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
100gm	36.3	38.6	37.1	40.9	40.1	40.8	39.9	40.4	40.0	40.2	39.9	40.7	41.2	39.6
200gm	62.9	66.7	64.4	69.0	57.0	67.8	65.1	78.6						
150gm	NA	NA	NA	59.5	58.1	57.6	57.5	56.8	57.8	58.2	56.1	56.7	57.8	56.6
50gm	21.8	22.7	24.3	23.4	20.5	23.9	23.9							
30gm	NA	NA	NA	19.7	19.4	16.6	19.4	16.0	17.6	19.0	15.3	14.4	14.6	15.8



	Weighted Selling Dist													
100gm	75	85	88	89	95	89	90	86	90	91	92	88	86	87
200gm	96	97	96	79	2	1	1	0						
150gm				81	96	96	93	90	95	95	96	92	92	89
50gm	67	68	69	50	2	1	1							
30gm				61	72	70	70	69	74	69	71	66	68	66

Regular Freeze Dried - Nescafe Gold SKUs Weekly Development at Key Accounts



→ Inconsistent supply and repeated dips in sales

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2. How will you comment on the results of Nescafe Gold Reformulation in June 04, and what are the reasons behind. What Nestle should do next?

Recommendations:

1. Focus Fully on the 150g Pack and Strengthen Its Value Proposition

- The 150g pack is now **the core volume driver for Nescafe Gold**, consistently holding the highest volume share post-reformulation.
- Maintain broad **Weighted Distribution (>90%)** and **stable pricing around HK$56–57**, where performance has proven strongest.
- **To recover the gap left** by the discontinued 200g pack, leverage **bonus-pack offers** such as: "150g + 30g free" — increases perceived value and encourages re-trial of the 30g format.
- **Support promotions** with end-cap displays, catalogue placement, and clear messaging that highlights improved taste and reformulated quality, to **build trial and encourage repeat purchases**.

2. Do Not Reintroduce the 200g Pack — Strategic Reasons

- The 200g format was removed during the reformulation and has already been functionally replaced by the 150g SKU.
- Relaunching it would create **internal competition with Taster Choice**, which targets mid-value freeze-dried buyers with **175g format**.
- **Maintaining clear segmentation** — Nescafe Gold as premium (HK$8.2/10 cups) and Taster Choice as mid-tier (HK$5.2/10 cups) — **ensures each sub-brand captures a distinct customer group without overlap.**

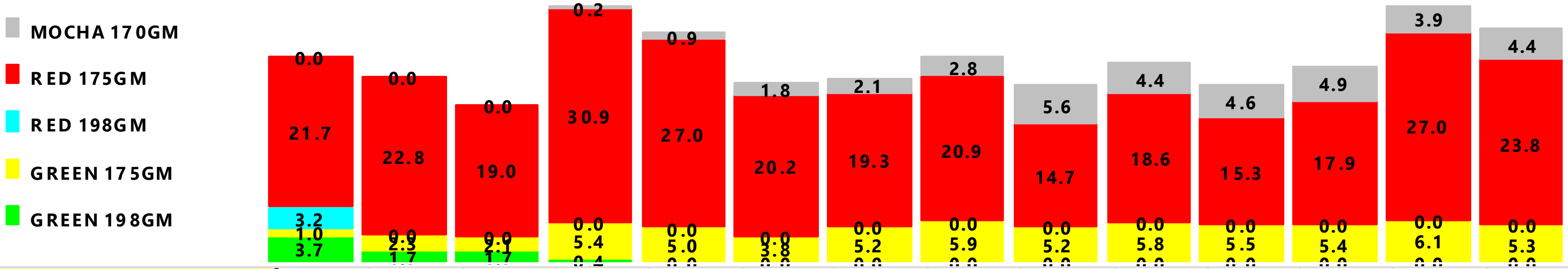
Question 3

- How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies?

Regular Freeze Dried - Taster Choice Monthly Development by Packsize at Total HK

	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
Price Per Pack														
GREEN 198GM	53.4	59.6	59.2	62.3	59.8	58.3								
GREEN 175GM	57.6	59.8	59.6	59.5	59.4	60.9	57.9	56.9	58.1	57.2	56.9	56.6	56.4	56.9
RED 198GM	43.5													
RED 175GM	40.2	42.2	42.6	42.3	42.4	45.4	45.2	44.1	46.6	46.0	45.7	45.3	42.7	42.1
MOCHA 170GM				39.2	39.4	38.6	38.1	38.5	37.2	38.5	38.5	38.3	38.9	38.6

Volume % Share



	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
WTD DIST														
GREEN 198GM	56	22	23	14	2	1								
GREEN 175GM	35	38	36	56	56	50	57	58	60	60	63	57	62	60
RED 198GM	41													
RED 175GM	87	88	86	84	85	83	83	84	87	89	90	86	88	87
MOCHA 170GM				8	19	22	19	28	32	31	33	31	30	30
SPPD (000 HK$)														
GREEN 198GM	2.1	2.2	1.8	0.5	0.4	0.2								
GREEN 175GM	1.1	2.0	1.7	2.1	2.7	1.8	2.3	3.1	2.4	2.6	3.0	2.8	3.0	3.0
RED 198GM	2.1													
RED 175GM	6.9	6.0	4.5	5.8	6.8	4.2	4.6	6.0	3.8	4.5	4.8	4.9	7.1	6.8
MOCHA 170GM				0.4	1.0	1.3	1.9	2.1	3.2	2.6	3.4	3.2	2.8	3.4

3. How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies?

Taster Choice Green 175g:

Observation:

- Green 175g is distributed in high-quality retail outlets **(WTD ~60%),** meaning it has strong access to key selling points.
- However, its **SPPD is underperforming** — despite strong placement, **revenue per outlet is relatively low**, which signals inefficient turnover or weak consumer pull.

Pricing Strategy:

- Maintain current price (~HK$57) in stores with strong SPPD.
- Run targeted discount testing (e.g., HK$54.9) in low-performing outlets to assess price sensitivity and drive trial.
- **Avoid broad price cuts — focus on localized price optimization to protect margin and brand value.**

Promotion Strategy:

- Focus on **conversion in existing distribution**: Use in-store **tastings** or limited-time **coupons** to turn shelf presence into purchase.
- **Enhance visibility** in key stores through secondary placements or better shelf positioning near competitors.
- Launch **bundle promotions** (e.g., 2x175g + free sample) to encourage multi-pack purchase and boost trial without deep discounting.

3. How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies?

Taster Choice Mocha 170g:

Observation :

- Mocha is sold in fewer stores **(WTD ~30%),** but **its SPPD is consistently higher than Green 175g**, meaning it delivers more revenue per outlet.
- This shows strong demand where it is available — a clear signal that **this SKU is under-distributed relative to its performance**.

Pricing Strategy:

- **Keep current pricing stable** (~HK$38.5–39), as it's already effective and delivering strong SPPD.
- **No discounting needed** — Mocha's price-to-value perception is working well and supports consistent volume.

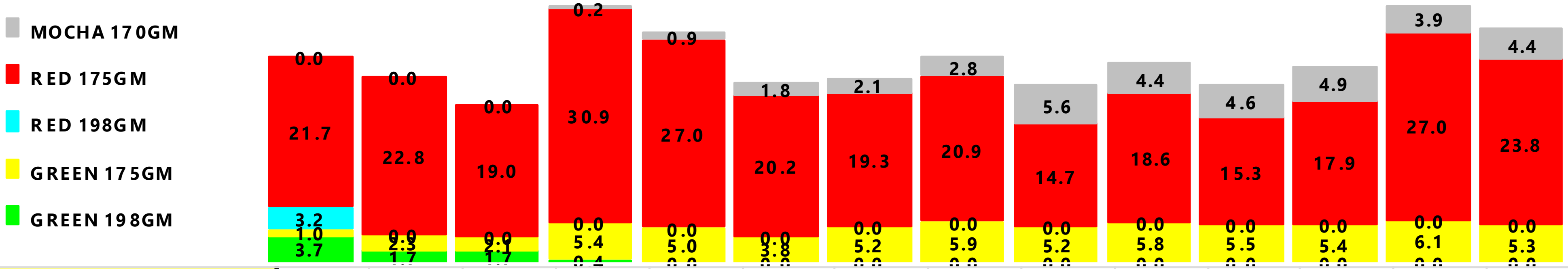
Promotion Strategy:

- Expand distribution to increase **WTD from ~30% to 45–50%,** prioritizing stores with younger shoppers or impulse categories.
- Leverage **seasonal campaigns** (e.g., "Winter Treat," "Chocolate Indulgence") to position Mocha as a comforting, flavorful option.
- Use **trial-driving offers** like BOGO or bundle deals (e.g., Mocha + snack pairing) to reach new buyers and grow basket size.

Regular Freeze Dried - Taster Choice Monthly Development by Packsize at Total HK

	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
Price Per Pack														
GREEN 198GM	53.4	59.6	59.2	62.3	59.8	58.3								
GREEN 175GM	57.6	59.8	59.6	59.5	59.4	60.9	57.9	56.9	58.1	57.2	56.9	56.6	56.4	56.9
RED 198GM	43.5													
RED 175GM	40.2	42.2	42.6	42.3	42.4	45.4	45.2	44.1	46.6	46.0	45.7	45.3	42.7	42.1
MOCHA 170GM				39.2	39.4	38.6	38.1	38.5	37.2	38.5	38.5	38.3	38.9	38.6

Volume % Share



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WTD DIST														
GREEN 198GM	56	22	23	14	2	1								
GREEN 175GM	35	38	36	56	56	50	57	58	60	60	63	57	62	60
RED 198GM	41													
RED 175GM	87	88	86	84	85	83	83	84	87	89	90	86	88	87
MOCHA 170GM				8	19	22	19	28	32	31	33	31	30	30
SPPD (000 HK$)														
GREEN 198GM	2.1	2.2	1.8	0.5	0.4	0.2								
GREEN 175GM	1.1	2.0	1.7	2.1	2.7	1.8	2.3	3.1	2.4	2.6	3.0	2.8	3.0	3.0
RED 198GM	2.1													
RED 175GM	6.9	6.0	4.5	5.8	6.8	4.2	4.6	6.0	3.8	4.5	4.8	4.9	7.1	6.8
MOCHA 170GM				0.4	1.0	1.3	1.9	2.1	3.2	2.6	3.4	3.2	2.8	3.4

3. How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies?

Taster Choice Red 175g:

Observation:

- Taster Choice Red 175g is **the key volume driver for the brand.**
- **Sales spiked in Mar 05** after a deep price cut to **HK$40.5**, **reaching a record** 5,597 packs sold in a week.
- **Afterward**, price remained low (~HK$41), but sales gradually **declined and never returned to that peak**.

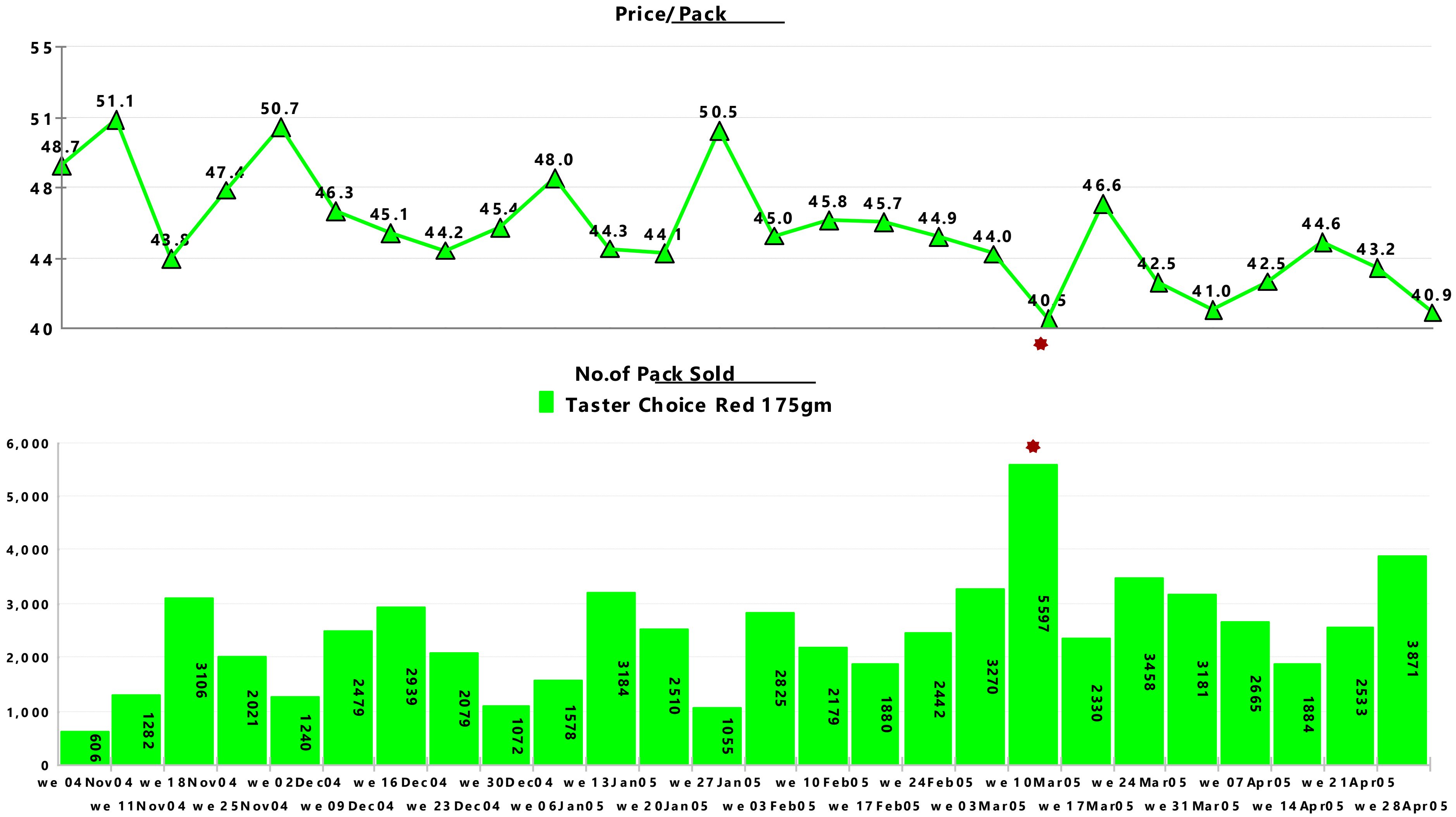
Problem:

- Volume spikes are temporary, showing strong price sensitivity but weak brand pull.
- **The product lacks follow-up promotion or support to retain buyers after discounting.**

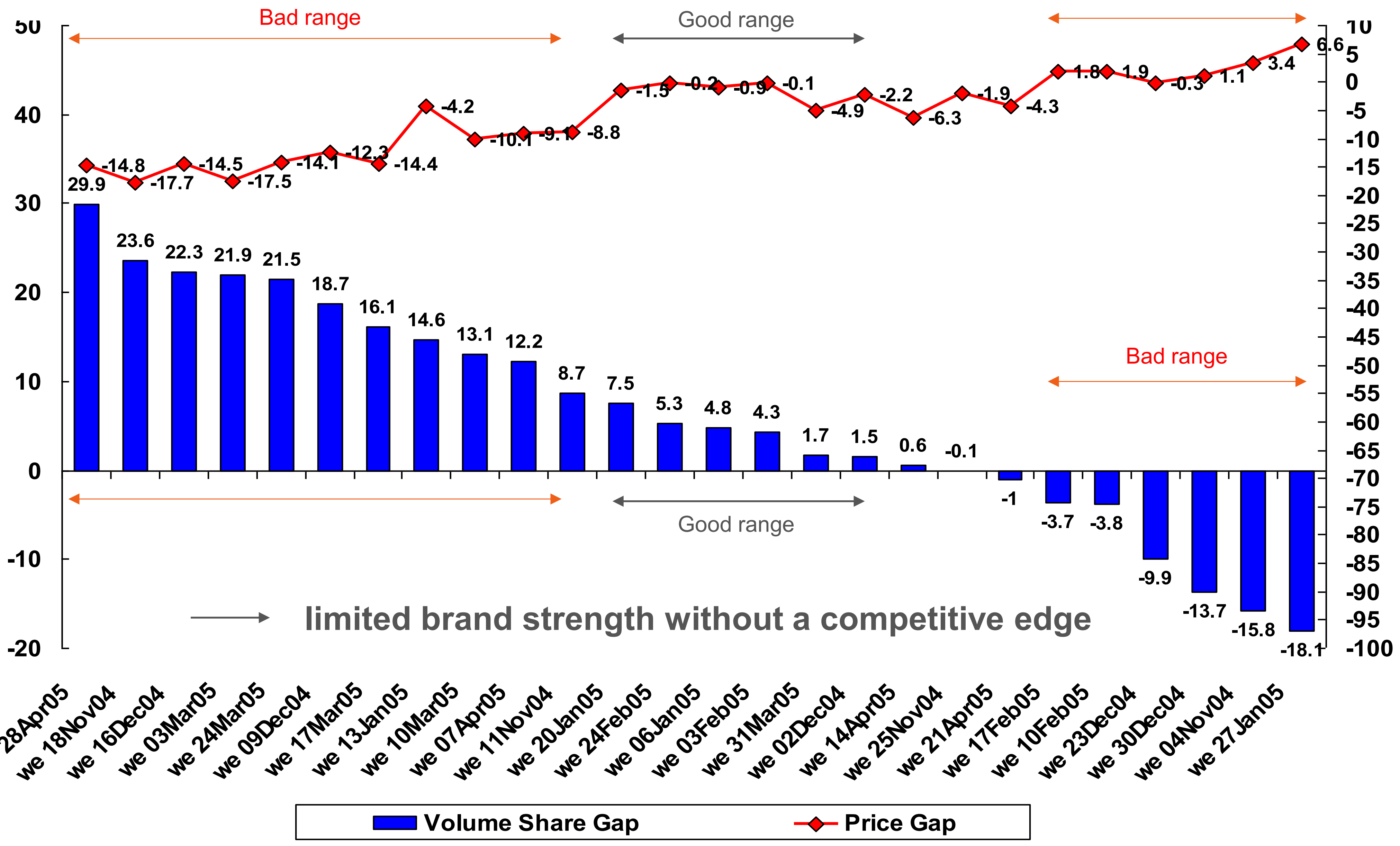
Price gap analysis (*Metric = TC Red price – MH price*)

- When **the price gap was negative** (TC Red priced lower, between –14.8 to –8.8 HK$), **TC Red gained volume share** — from +8.7% up to +29.9%.
- However, once **the price gap turned positive** (TC Red priced higher), its **volume share turned negative**, showing clear price sensitivity and **limited brand strength without a competitive edge.**

Regular Freeze Dried - Taster Choice Red 175gm Weekly Development at Key Accounts



Regular Freeze Dried – TC Red 175gm vs MH 100% FD 170gm Weekly Price Gap Analysis



NIQ

3. How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies?

Taster Choice Red 175g:

Pricing Strategy:

- Set a **regular shelf price around HK$43.0–43.5** to maintain value perception and protect margin, while using **promotional pricing** between **HK$40.0–41.5** to drive trial and volume spikes — as proven during the strong performance in Mar 05.
- **Keep the price gap against Maxwell House consistently narrow** — ideally **within HK$5 or lower**. TC Red only gained volume share when priced below MH. This range serves as the competitive threshold and should be maintained alongside promotional efforts.
- **Ensure pricing stability** outside planned promotions to preserve margin and avoid over-reliance on discounts.

Promotion Strategy:

- **Drive repeat purchases** after promos with “Buy 2, Save X” or loyalty coupons **to retain new buyers at regular prices**.
- Run promotions every 6 weeks **(catch buyers as they repurchase)**, supported by leaflets, catalogues, and in-store signage for consistent visibility.
- Use **in-store sampling** in high-traffic or competitor-heavy areas to build taste confidence, **especially during off-promo periods**.
- Coordinate pricing and promotion to stay competitive with Maxwell House and avoid volume drop-offs.

Resource Allocation Overview

60% – Coffee Mix:

- **Fastest-growing segment and now the largest in market share.**
- Strong alignment with premium consumer trends.
- Nestle is well-positioned to expand further and capture long-term growth.

40% – Regular Coffee:

20% – Spray Dried

- Still a key volume contributor and **mass-market leader.**
- **Important to defend share** and ensure continued presence in value-driven channels.

10% – Nescafe Gold (Freeze Dried)

- Previously the premium leader, but faced disruption after the 2004 reformulation.
- The 150g pack is now stabilized and offers a strong base for rebuilding performance.
- **Opportunity to regain share** by reinforcing premium positioning and driving trial through focused promotions.

10% – Taster Choice (Freeze Dried)

- **Competitively placed against Kraft** in the mid-price segment with growing potential.
- **Mocha and Red SKUs show solid response** — strong base for scaling through distribution and pricing strategy.
- Well-positioned to strengthen Nestle's portfolio and win back share in the Freeze Dried category.

THANK YOU!